



DIRECT PURCHASE

Policy No. 05-2004

PURPOSE: To set up guidelines for direct purchases from exclusive and/or licensed manufacturers and/or distributors.

POLICIES:

Direct purchases shall be resorted to only under the following conditions:

1. The supplier is the exclusive duly licensed manufacturer and/or distributor of the requested item.
2. The exclusive manufacturer and/or distributor have no sub-dealer/s offering the same item/s of the same specifications and quality at lower prices.
3. There is no suitable substitute of substantially the same quality as the requested item/s available in the market at lower prices and/or better terms and conditions.
4. Direct purchase not included in the approved Annual Cash Operating Budget amounting to more than One Hundred Thousand Pesos (P100,000.00) should have prior approval of the Board of Directors.
5. In case there are two (2) or more licensed manufacturers and/or distributors in the area, a canvass from among the licensed manufacturers and/or distributors should be conducted to obtain the most advantageous offer.

IMPLEMENTATION:

The General Manager shall be responsible in the implementation of this Policy.

EFFECTIVITY:

This Policy shall take effect immediately upon its approval.

REPEALING CLAUSE:

All existing policies, rules, and regulations promulgated earlier that are found to be inconsistent or in conflict with any of the provisions of this Policy are deemed repealed, modified and /or amended accordingly.

Certified true and correct:

Attested:

NORMA T. PARADO
Secretary

RIMANDO D. ANGUITAY
President